

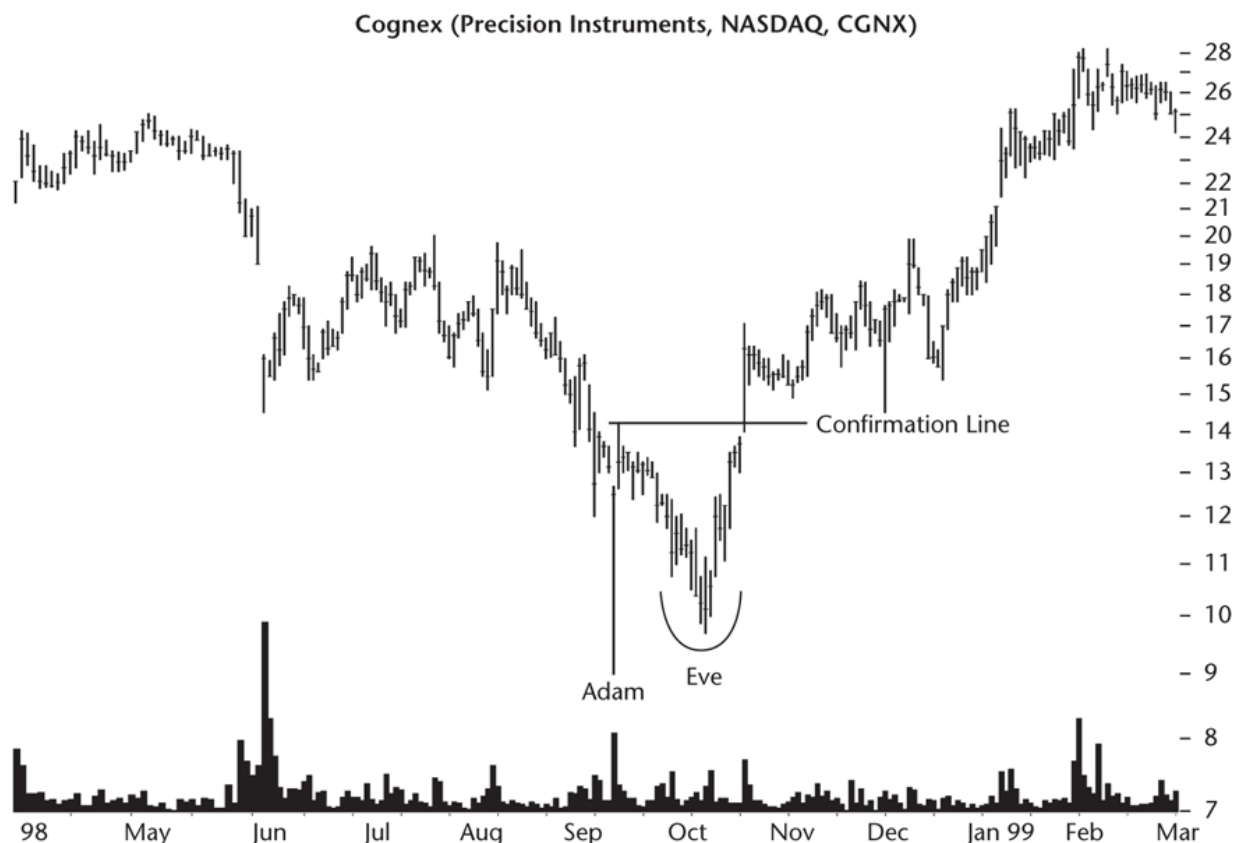


Figure 27.1 A tall one-day downward price spike is the Adam bottom, and the rounded turn marks the Eve bottom.

When I look at this figure, my eye goes to the vertical line above the Adam label. The line points to the gap. But that line is the price bar which created the area gap when price opened lower.

I checked two data sources to be sure I had good data for that price bar. The results are correct. The Adam & Eve double bottom appears after a long downward price trend in this example. The Adam bottom is narrow, a one-day price spike (in this example), but the Eve bottom is wider and composed of several short price spikes. Not only is this Adam bottom unusually long, but the price bottoms are uneven. More often, the price variation between the two bottoms is slight, which segues into the next section: Identification Guidelines.